

## 23SMCV03537 23SMCV03537

County: los-angeles

Division: Civil Law and Motion

Department: N

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Case Number: 23SMCV03537 Hearing Date: August 4, 2026 Dept: N

### TENTATIVE RULING

Plaintiff Goldrich Kest, LLC's Motion to Strike Costs is GRANTED in part and DENIED in part. Defendant Homeland Insurance Company of New York's costs are TAXED in the amount of \$8,868.75. Defendant Homeland Insurance Company of New York is entitled to recover \$28,304.27 in costs.

Plaintiff Goldrich Kest, LLC to give notice.

### REASONING

"[A] prevailing party is entitled as a matter of right to recover costs in any action or proceeding." (Code Civ. Proc., § 1032, subd. (b).) A prevailing party is entitled to recover only those costs "necessarily incurred in the case" by that party or on that party's behalf in prosecuting or defending the action. (See Cal. Rules of Court, rule 3.1700(a); Code Civ. Proc., § 1033.5, subd. (c)(1).) The non-prevailing party may contest any items in the prevailing party's memorandum of costs by a motion to strike or tax costs. (See Cal. Rules of Court, rule 3.1700(b); Code Civ. Proc., § 1034, subd. (a).) Under Code of Civil Procedure section 1033.5, allowable costs include costs that were "reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation," and the costs must be "reasonable in amount." (Code Civ. Proc., § 1033.5, subds. (c)(2), (c)(3).)

"If the items appearing in a cost bill appear to be proper charges, the burden is on the party seeking to tax costs to show that they were not reasonable or necessary. On the other hand, if the items are properly objected to, they are put in issue and the burden of proof is on the party claiming them as costs." (Ladas v. California State Automobile Association (1993) 19 Cal.App.4th 761, 774.) "Whether a cost item was reasonably necessary to the litigation presents a question of fact for the trial court," but "because the right to costs is governed strictly by statute, a court has no discretion to award costs not statutorily authorized." (Ibid.)

Plaintiff Goldrich Kest, LLC ("Plaintiff") moves to strike Defendant Homeland Insurance Company of New York ("Defendant")'s requests for costs of \$20,286.00 relating to the discovery referee and private mediation in Defendant's Memorandum of Costs filed on February 17, 2026. Plaintiff does not dispute here that Defendant is entitled to recover costs or that Defendant was the prevailing party; rather, Plaintiff argues that the Court appointed the discovery referee because the parties jointly proposed and agreed to such an appointment, and the Court already divided the payment obligations in accordance with this understanding, such that no further order or award is necessary. Defendant argues that the prevailing party's share of referee costs is allowed as an item of costs. As to private mediation, Plaintiff argue that Defendant is not entitled to recover costs it incurred from a privately hired mediator, as it is a mere convenience to the parties. The Court addresses each cost in turn.

As to the discovery referee, Defendant relies on *Winston Square Homeowner's Association v. Centex West, Inc.* (1989) 213 Cal.App.3d 282, a case in which the trial court had appointed a special master to control discovery over the objection of the party later seeking costs. (Id. at p. 292.) The appellate court concluded it was within the trial court's discretion to award the fees paid to the special master as an item of costs. (Id. at p. 293.) The parties agree that this is a discretionary cost governed by Code of Civil Procedure section 1033.5, subdivision (c)(4), which states that costs not expressly identified as allowable in the statute "may be allowed or denied in the court's discretion" if the cost is reasonably necessary to the conduct of the litigation and reasonable in amount. The Court finds here that the discovery referee was necessary to the conduct of the litigation, specifically because the number of discovery disputes between the parties could not have been quickly addressed by this Court with its limited resources, i.e., the appointment of the referee was not the result of any bad conduct by any party, and the cost for the referee was reasonable.

As to the private mediation expenses, the parties again agree that this is a discretionary cost. Defendant argues that it was obligated to participate in mediation proceedings for this action even though Plaintiff's properly calculated loss never would have reached Defendant's coverage layer even if Plaintiff had been entitled to any award of damages in this lawsuit. Notably, Defendant provides no evidence that it was required to participate in private mediation. It follows that the Court cannot conclude that private mediator costs were reasonably necessary to the conduct of the litigation such that they should be recoverable. Thus, Defendant's costs are TAXED in the amount of \$8,868.75.

Accordingly, Plaintiff Goldrich Kest, LLC's Motion to Strike Costs is GRANTED in part and DENIED in part. Defendant Homeland Insurance Company of New York's costs are TAXED in the amount of \$8,868.75. Defendant Homeland Insurance Company of New York is entitled to recover \$28,304.27 in costs.

#### TENTATIVE RULING

Plaintiff Goldrich Kest, LLC's Motion to Strike Costs is DENIED.

Plaintiff Goldrich Kest, LLC to give notice.

#### REASONING

"[A] prevailing party is entitled as a matter of right to recover costs in any action or proceeding." (Code Civ. Proc., § 1032, subd. (b).) A prevailing party is entitled to recover only those costs "necessarily incurred in the case" by that party or on that party's behalf in prosecuting or defending the action. (See Cal. Rules of Court, rule 3.1700(a); Code Civ. Proc., § 1033.5, subd. (c)(1).) The non-prevailing party may contest any items in the prevailing party's memorandum of costs by a motion to strike or tax costs. (See Cal. Rules of Court, rule 3.1700(b); Code Civ. Proc., § 1034, subd. (a).) Under Code of Civil Procedure section 1033.5, allowable costs include costs that were "reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation," and the costs must be "reasonable in amount." (Code Civ. Proc., § 1033.5, subs. (c)(2), (c)(3).)

"If the items appearing in a cost bill appear to be proper charges, the burden is on the party seeking to tax costs to show that they were not reasonable or necessary. On the other hand, if the items are properly objected to, they are put in issue and the burden of proof is on the party claiming them as costs." (*Ladas v. California State Automobile Association* (1993) 19 Cal.App.4th 761, 774.) "Whether a cost item was reasonably necessary to the litigation presents a question of fact for the trial court," but "because the right to costs is governed strictly by statute, a court has no discretion to award costs not statutorily authorized." (*Ibid.*)

Plaintiff Goldrich Kest, LLC ("Plaintiff") moves to strike Defendants Ategrity Specialty Insurance Company and Axis Surplus Insurance Company ("Defendants")'s requests for costs of \$16,904.00 relating to the discovery referee in Defendants' Amended Memorandum of Costs filed on February 9, 2026. Plaintiff does not dispute here that Defendants are entitled to recover costs or that Defendants were the prevailing party; rather, Plaintiff argues that the Court appointed the discovery referee because the parties jointly proposed and agreed to such an appointment, and the Court already divided the payment

obligations in accordance with this understanding, such that no further order or award is necessary. Defendants argue that the prevailing party's share of referee costs is allowed as an item of costs.

Defendants rely on *Winston Square Homeowner's Association v. Centex West, Inc.* (1989) 213 Cal.App.3d 282, a case in which the trial court had appointed a special master to control discovery over the objection of the party later seeking costs. (Id. at p. 292.) The appellate court concluded it was within the trial court's discretion to award the fees paid to the special master as an item of costs. (Id. at p. 293.) The parties agree that this is a discretionary cost governed by Code of Civil Procedure section 1033.5, subdivision (c)(4), which states that costs not expressly identified as allowable in the statute "may be allowed or denied in the court's discretion" if the cost is reasonably necessary to the conduct of the litigation and reasonable in amount. The Court finds here that the discovery referee was necessary to the conduct of the litigation, specifically because the number of discovery disputes between the parties could not have been quickly addressed by this Court with its limited resources, i.e., the appointment of the referee was not the result of any bad conduct by any party, and the cost for the referee was reasonable. Accordingly, Plaintiff Goldrich Kest, LLC's Motion to Strike Costs is DENIED.